



425 S. Palos Verdes Street Post Office Box 151 San Pedro, CA 90733-0151 TEL/TDD 310 SEA-PORT www.portoflosangeles.org

Eric Garcetti Mayor, City of Los Angeles

Gary Lee Moore, P.E. Interim Executive Director

January 10, 2014

Honorable Members of the
City Council of the
City of Los Angeles

CD No. 15

Attention: Mr. Michael Espinosa, City Clerk's Office

SUBJECT: ORDER NO. 13-7151 - SALE OF 49% OF INTERNATIONAL TRANSPORTATION, INC., A DELAWARE CORPORATION, THAT OWNS 100 PERCENT OF TRAPAC, INC., A TENANT OF THE CITY OF LOS ANGELES HARBOR DEPARTMENT, TO BIF II TP AGGREGATOR (DELAWARE), L.P., A SUBSIDIARY OF BROOKFIELD ASSET MANAGEMENT, INC. AND SOLELY CONTROLLED BY IT

Pursuant to Section 606 of the City Charter, enclosed for your approval is proposed Order No. 13-7151 requesting consent to the proposed transfer of 49% of the issued and outstanding shares of International Transportation, Inc., the holding company that owns TraPac, Inc., the tenant of the Harbor Department under Permit No. 881; Adopted by the Board of Harbor Commissioners at its meeting of December 19, 2013.

Please note that the Mayor's office is waiving Executive Directive No. 4 review for this item, therefore, no CAO report is attached.

RECOMMENDATION:

1. The City Council approve Order No. 13-7151 to consent the sale of 49% of the ownership of International Transportation, Inc.;
2. Find that the recommendation action is exempt from the California Environmental Quality Act (CEQA) in accordance with Article II, Section 2(f) of the Los Angeles City CEQA Guidelines; and
3. Return to the Board of Harbor Commissioners for further processing.

Respectfully submitted,



JULIE W. HUERTA
Acting Commission Secretary

cc: Trade, Commerce & Tourism Committee
Councilman Rosendahl, encs.
Councilman LaBonge, encs.
Councilman Buscaino, encs.
Mandy Morales, Mayor's office, encs.

Alvin Newman, CAO, encs.
Lisa Schechter, CD4, encs.
Aaron Gross Government Affairs, encs.
Christine Yee Hollis, CLA, encs.



Executive Director's
Report to the

Board of Harbor Commissioners

December 19, 2013

ACTING SECRETARY

12-19-13
1
DATE: DECEMBER 19, 2013

FROM: FINANCE

SUBJECT: ORDER NO. 13-7151 - PROPOSED SALE OF 49% OF INTERNATIONAL TRANSPORTATION, INC., A DELAWARE CORPORATION, THAT OWNS 100 PERCENT OF TRAPAC, INC., A TENANT OF THE CITY OF LOS ANGELES HARBOR DEPARTMENT, TO BIF II TP AGGREGATOR (DELAWARE), L.P., A SUBSIDIARY OF BROOKFIELD ASSET MANAGEMENT, INC. AND SOLELY CONTROLLED BY IT

SUMMARY:

Proposed is a request to provide consent to the sale of 49% of the ownership of International Transportation, Inc., a Delaware corporation (Tenant Holdco) that is currently a wholly owned subsidiary of the Mitsui O.S.K. Lines, Ltd. (MOL), to an entity (Transferee) legally known as BIF II TP Aggregator (Delaware), L.P., a Delaware limited partnership, a subsidiary of and controlled solely by Brookfield Asset Management, Inc., a Canadian corporation.

TraPac, Inc. (TraPac or Tenant), a wholly owned subsidiary of Tenant Holdco, initiated this request of consent. With Trapac's ultimate parent, MOL, remaining unaffected and with the parent's existing guarantee untouched, the risk position of the City of Los Angeles Harbor Department (Harbor Department) continues without being negatively affected in terms of its ultimate reliance on the guaranty of MOL.

RECOMMENDATION:

It is recommended that the Board of Harbor Commissioners (Board):

1. Approve the Order to consent to the sale of 49% of the ownership of International Transportation, Inc.;
2. Authorize the Executive Director to execute and the Board Secretary to attest to the Order to consent to the sale;
3. Authorize and direct the Board Secretary to transmit to the Los Angeles City Council for approval pursuant to Section 606 of the Charter of the City of Los Angeles the consent to the proposed transfer of 49% of the issued and outstanding shares of International Transportation, Inc., the holding company that owns TraPac, Inc., the tenant of the Harbor Department under Permit No. 881, as amended; and
4. Adopt Order No. 13-7151.

SUBJECT: SALE OF 49% OF INTERNATIONAL TRANSPORTATION, INC. TO A
SUBSIDIARY OF BROOKFIELD ASSET MANAGEMENT

DISCUSSION:

Background/Context – TraPac is a terminal operator that is wholly owned by Tenant Holdco, which in turn is wholly owned by MOL. MOL was founded in 1964, the result of a merger but has its roots going back to 1884. Originally part of the Mitsui trading group (known as a *zaibatsu*), it is now aligned with the Mitsui Sumitomo Group (known as a *keiretsu*), one of the largest business groups within Japan, with interlocking business relationships and shareholdings among other companies within the group.

Under Permit No. 881 (Permit) as amended dated September 29, 2009, the City of Los Angeles through the Board of Harbor Commissioners of the Port of Los Angeles granted to TraPac, the ability to operate through September 28, 2039 on the property specified under the Permit. TraPac operates at the northern end of the West Basin at Berths 136-147. This report had been presented at the December 12, 2013 meeting of the Harbor Commissioners but was continued in order for Harbor Department staff and the City Attorney to meet with representatives from the Transferee and the Tenant to ensure that the Tenant has fully complied with terms of the Permit to obtain consent to the transfer. The meeting took place on Monday, December 16, 2013. The information provided at the meeting fulfills the information requirements under the Permit.

Rights Under Permit – The Permit contains a provision for TraPac to obtain consent to transfer. Based on that provision, TraPac has requested that the Harbor Department consent to the sale of a minority share of Tenant Holdco to the Transferee owned by Brookfield Asset Management (Transmittal 2). Section 14 of the Permit governs transfers of interest. MOL's proposed sale of 49% of Holdco constitutes a "Transfer" within the meaning of Section 14.9 of the Permit.¹ As such, unless the City consents to that Transfer in accordance with the procedures outlined in Section 14 of the Permit, the proposed acquisition of 49% of TraPac, would be prohibited.

The procedure to obtain such consent is set forth in Section 14.2 of the Permit. Section 14.2 required TraPac to provide written notice known as a "Transfer Notice" at least 30 days before the proposed effective date of the proposed Transfer, and to provide the following:

(a) Specific identification of the entity or entities with whom TraPac proposes to undertake the Transfer ("Transferee");

(b) Specific and detailed description of the Transferee's entity type, ownership (including identification of all parent and subsidiary entities), background/history, nature of the Transferee's business, Transferee's character and reputation and experience in the operations proposed;

¹A copy of Section 14 of the Permit is attached hereto as Transmittal 1. Section 14.9 considers transfers of more than 25% of the economic interest in any entity directly or indirectly controlling the subject tenant a "Transfer".

SUBJECT: SALE OF 49% OF INTERNATIONAL TRANSPORTATION, INC. TO A
SUBSIDIARY OF BROOKFIELD ASSET MANAGEMENT

(c) Specific and detailed description of the type of Transfer proposed, and the rights proposed to be transferred;

(d) Specific and detailed description of the operations proposed to be undertaken at the Premises by TraPac and Transferee if City consents to the Transfer which includes a breakdown of the responsibilities and duties of TraPac and Transferee;

(e) All of the terms of the proposed Transfer, including the total consideration payable by Transferee; the specific consideration (if any) payable by Transferee in connection with the Premises and/or uses under this Agreement if the proposed Transfer is part of an acquisition or purchase that involves assets outside this Agreement; the proposed use of the Premises; the effective date of the proposed Transfer; and a copy of all documentation concerning the proposed Transfer;

(f) The proposed form of a guaranty or guarantys providing greater or substantially the same protection to City as any guaranty in effect prior to or contemporaneous with the proposed Transfer;

(g) A business plan for the Transferee including specific estimates of cargo volume anticipated under each of the following categories: existing contracts, contracts under negotiation and other specified sources;

(h) A general description of any planned Alterations or improvements to the Premises; and

(i) Written authorization in a form acceptable to City allowing City to inspect and review but not to copy, at times and locations reasonably selected by City, any books and records or other information of TraPac or Transferee (or third-parties acting for or on either of their behalves) reasonably determined by City to be necessary for its assessment of TraPac's request for consent.

Section 14.3 of the Permit sets forth a variety of factors including financial condition of the Transferee, any impact to the plans of the Harbor Department, and the character, experience and reputation of the Transferee to be considered in granting any consent and that the City will not unreasonably withhold its consent to a transfer.

Risk Considerations – Under the proposed sale, the Transferee will hold 49% of Tenant Holdco. The sale is a cash transaction purchasing existing shares with no new shares being issued and carrying an incentive payment if certain volume criteria are met. The Transferee will be a subsidiary of Brookfield Asset Management and be solely controlled by it. Brookfield Asset Management is a Canadian corporation that is listed on the Toronto and New York stock exchanges. The company has over \$175 billion of assets under management and has a 100-year history of owning and operating assets

**SUBJECT: SALE OF 49% OF INTERNATIONAL TRANSPORTATION, INC. TO A
SUBSIDIARY OF BROOKFIELD ASSET MANAGEMENT**

with a focus on property, renewable power, infrastructure, and private equity. However, as no special rights are contained in such ownership, the Transferee will hold a minority position in Tenant Holdco but with an equal number of members of the board. While the Transferee holds a minority position in the shares, the sale terms indicate that in certain instances actions of the company require a supermajority. These instances include issues such as charter amendments, issues related to the company's business plan, budget, and strategy, compensation of major officers, and other terms normally seen for a substantive minority investment. While this adds another component to the decision making process at Tenant Holdco and MOL, MOL will continue in its guaranty (Transmittal 3) of the timely payment and performance of all obligations of the Tenant arising under the Permit and MOL's obligations will continue until all debts, obligations and liabilities of the Tenant to the City under the Permit are paid and performed in full. Given such guaranty, the Harbor Department's business and risk position continue to be supported by the MOL guaranty. With MOL being a part of the Mitsui *keiretsu*, the strength of that guaranty remains unchanged.

From Brookfield Asset Management's perspective, the full guarantee of MOL is also important as the return on the cash injection it is providing to MOL depends heavily on the shipping line's ability to maintain and increase container volume. In this respect, the risks of the Transferee and the Harbor Department align. Any payment of dividends will be determined by the board of directors of TraPac and be paid pro-rata to the shareholders.

ENVIRONMENTAL ASSESSMENT:

The proposed action is to provide consent to an Order to allow the sale of 49% of Tenant Holdco to the Transferee with no change in business operations. As an administrative activity, the Director of Environmental Management has determined the proposed action is exempt from the California Environmental Quality Act (CEQA) in accordance with Article II, Section 2 (f) of the Los Angeles City CEQA Guidelines.

ECONOMIC BENEFITS:

This Board action will have no direct employment effect.

FINANCIAL IMPACT:

The Harbor Department expects no negative fiscal impact if the consent is provided and executed. The purchaser and the seller have indicated that business will be operated at TraPac in similar manner to current operations and with the continuing guarantee of MOL. It is expected that, at the minimum, over the course of the life of the permit that volumes and, as a result the associated revenues, will continue to meet what is currently being contemplated with TraPac.

DATE: DECEMBER 19, 2013

PAGE 5 OF 5

SUBJECT: SALE OF 49% OF INTERNATIONAL TRANSPORTATION, INC. TO A
SUBSIDIARY OF BROOKFIELD ASSET MANAGEMENT

CITY ATTORNEY:

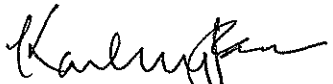
The proposed Order is subject to approval as to form and legality by the Office of the City Attorney.

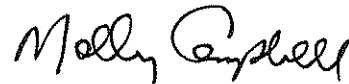
TRANSMITTALS:

1. Section 14, Permit 881
2. TraPac Transfer Notice Letter
3. MOL Guaranty

FIS Approval: W (initials)

CA Approval: MC (initials)


KARL K.Y. PAN
Chief Financial Officer


MOLLY CAMPBELL
Deputy Executive Director

APPROVED:


GARY LEE MOORE, P.E.
Interim Executive Director

Author: K. Pan

(e) Accident Reports. Tenant shall report in writing to Executive Director within fifteen (15) days after it, its officers or managing agents have knowledge of any accident or occurrence involving death of or injury to any person or persons, or damage in excess of Fifty Thousand Dollars (\$50,000) to property, occurring upon the Premises, or elsewhere within the Harbor District, if Tenant's officers, agents or employees are involved in such an accident or occurrence while undertaking the Permitted Uses. Such report shall contain to the extent available: (1) the name and address of the persons involved; (2) a general statement as to the nature and extent of injury or damage; (3) the date and hour of occurrence; (4) the names and addresses of known witnesses; and (5) such other information as may be known to Tenant, its officers or managing agents.

Section 14. Tenant Transfers of Interest in Agreement.

14.1 Transfers Prohibited. Unless processed and approved strictly in accordance with this Section 14, no transfer of this Agreement, or any interest therein or any right or privilege thereunder, regardless of whether accomplished by a separate agreement, sale of stock or assets, merger or consolidation or reorganization by or of Tenant (or any entity that directly or indirectly controls or owns fifty percent (50%) or more of Tenant), or accomplished in any other manner, whether voluntary or by operation of law, including but not limited to assignment, sublease, transfer, gift, hypothecation or grant of total or partial control, or any encumbrance of this Agreement (hereafter collectively referred to as "Transfer"), shall be valid or effective for any purpose. For purposes of this Agreement, "Transfer" also shall include the involvement of Tenant or its assets in any transaction, or series of transactions (by way of merger, sale, acquisition, financing, transfer, leveraged buyout or otherwise) whether or not a formal assignment or hypothecation of this Agreement or Tenant's assets, which involvement results in a reduction of the net worth of Tenant (defined as the net worth of Tenant, excluding guarantors, established by generally accepted accounting principles) by an amount greater than twenty-five percent (25%) of such net worth as it was represented at the time of the execution of this Agreement, or at the time of the most recent Transfer to which City has consented, or as it exists immediately prior to said transaction or transactions constituting such reduction, whichever was or is greater. For purposes of this Section 14, the term "by operation of law" includes but is not limited to: (1) the placement of all or substantially all of Tenant's assets in the hands of a receiver or trustee; or (2) a transfer by Tenant for the benefit of creditors; or (3) transfers resulting from the death or incapacity of any individual who is a Tenant or of a general partner of a Tenant (except as provided in Section 14.2.1(e) below).

14.2 Procedure to Obtain Consent to Transfer. Notwithstanding the prohibition set forth in Section 14.1, if Tenant desires to undertake a Transfer, it may seek City's consent thereto. Tenant covenants that before entering into or permitting any Transfer, it shall provide to City written notice at least thirty (30) days before the proposed effective date of the Transfer. Notwithstanding the foregoing, City reserves the right to allow Tenant, on a case-by-case basis, to submit to City for City's consent Transfers that have become effective. In any event, Tenant's written request to City for consent shall hereinafter be referred to as "Transfer Notice."

14.2.1 Tenant's Transfer Notice shall contain each of the following:

- (a) Specific identification of the entity or entities with whom Tenant proposes to undertake the Transfer ("Transferee");
- (b) Specific and detailed description of the Transferee's entity type, ownership (including identification of all parent and subsidiary entities), background/history, nature of the Transferee's business, Transferee's character and reputation and experience in the operations proposed;
- (c) Specific and detailed description of the type of Transfer proposed (e.g., assignment, sublease, grant of control, etc.) and the rights proposed to be transferred;
- (d) Specific and detailed description of the operations proposed to be undertaken at the Premises by Tenant and Transferee if City consents to the Transfer which includes a breakdown of the responsibilities and duties of Tenant and Transferee;
- (e) All of the terms of the proposed Transfer, including the total consideration payable by Transferee; the specific consideration (if any) payable by Transferee in connection with the Premises and/or uses under this Agreement if the proposed Transfer is part of an acquisition or purchase that involves assets outside this Agreement; the proposed use of the Premises; the effective date of the proposed Transfer; and a copy of all documentation concerning the proposed Transfer;
- (f) The proposed form of a guaranty or guarantys providing greater or substantially the same protection to City as any guaranty in effect prior to or contemporaneous with the proposed Transfer;

(g) A business plan for the Transferee including specific estimates of cargo volume anticipated under each of the following categories: existing contracts, contracts under negotiation and other specified sources;

(h) A general description of any planned Alterations or improvements to the Premises; and

(i) Written authorization in a form acceptable to City allowing City to inspect and review but not to copy, at times and locations reasonably selected by City, any books and records or other information of Tenant or Transferee (or third-parties acting for or on either of their behalves) reasonably determined by City to be necessary for its assessment of Tenant's request for consent.

14.2.2 If City consents to a Transfer, the following limits apply:

(a) City does not agree to waive or modify the terms and conditions of this Agreement;

(b) Such consent does not constitute either consent to any further or other Transfer by either Tenant or Transferee or a bar disqualifying submittal of additional Transfer Notices in accordance with the terms of this Agreement following such consent;

(c) If, following such consent, Tenant remains a party to this Agreement, Tenant shall remain liable under this Agreement and any guarantor shall remain liable under its guaranty;

~~(d) Such consent shall not transfer to the Transferee any option granted to the original Tenant by this Agreement unless such transfer is specifically consented to by City in writing;~~

(e) Tenant may enter into that Transfer in accordance with this Section 14 if: (a) the Transfer occurs within six (6) months after City's consent; (b) the Transfer, in the sole and absolute discretion of Executive Director, is on substantially the same terms as specified in the Transfer Notice; and (c) Tenant delivers to City promptly after execution an original executed copy of all documentation pertaining to the Transfer in a form reasonably acceptable to City;

(f) If the Transfer occurs more than six (6) months after City's consent or, in the sole and absolute discretion of Executive

Director, the terms of the Transfer materially change from those in the Transfer Notice, Tenant shall submit a new Transfer Notice under this Section 14, requesting City's consent. A material change for purposes of this Section 14 is one the terms of which would have entitled City to refuse to consent to the Transfer initially, or would cause, in the sole and absolute discretion of Executive Director, the proposed Transfer to be more favorable to Transferee than the terms in the original Transfer Notice; and

(g) Tenant and/or Transferee, upon City's written request, shall provide proof, in a form satisfactory in the sole reasonable discretion of the Risk Manager of City's Harbor Department, demonstrating that insurance of the type and limits required by Section 13 is and shall be in full effect at all times in or around the time period in which the proposed Transfer is anticipated to occur. If requested in writing by City, Transferee shall provide a guaranty agreement in a form acceptable to City obligating Transferee to pay any uninsured or underinsured loss on a claim that, in City's sole and absolute discretion, would have been covered by insurance fully compliant with Section 13.

14.3 Factors Germane to City Consent. In evaluating any Transfer Notice, it shall not be unreasonable for City to withhold or condition its consent to a Transfer based on the following factors, among others:

(a) The net worth, financial condition and creditworthiness of the Transferee and the existence of any guaranty provided by the Transferee's parent or related entity(ies);

(b) The character, experience and reputation of the Transferee (or its operator) in operating the business contemplated by the Transfer;

(c) Whether the Transfer will negatively impact the short-term or long-term development, land use or other plans of City's Harbor Department, and whether consent to such Transfer would violate any of the legal duties of City's Harbor Department, including duties owed to other tenants;

(d) Whether the proposed Transfer is consistent with the terms and conditions of this Agreement in existence when Tenant submitted the Transfer Notice and with the laws, rules and regulations applicable to the Premises and Tenant's use thereof;

(e) Whether the information provided by Tenant in connection with Section 14.2.1 justifies such consent;

(f) The Transferee's level of commitment and specific plans to invest to improve the Premises following approval of the proposed Transfer, if any.

14.4 Additional Conditions for Subleases. If Tenant requests consent to a Transfer consisting of a sublease, the following terms and conditions shall also apply:

(a) City reserves the right to recapture any portion of the Premises proposed by Tenant to be subleased (with appropriate amendments to this Agreement) and to undertake the transaction with the proposed Transferee directly;

(b) Tenant in no event shall be allowed to sublet more than twenty percent (20%) of the Premises to any one sublessee unless this Agreement expressly provides otherwise; and

(c) Tenant shall not collect sublease compensation that exceeds, on a pro rata basis, based on the preceding year's revenue, the compensation due City from Tenant under Section 5 of this Agreement.

14.5 Charter and Administrative Code. Tenant acknowledges that this Agreement is subject to the Charter of City and the Administrative Code of City and that approval of a Transfer may require action by several separate entities, including but not limited to the Los Angeles City Council.

14.6 Tenant Remedies. If City wrongfully denies or conditions its consent, Tenant may seek only declaratory and/or injunctive relief. Tenant specifically waives any damage claims against City in connection with the withholding or conditioning of consent.

14.7 Indemnity in Favor of City. In addition to and not as a substitute for the indemnities Tenant provides to City pursuant to Section 13 of this Agreement, Tenant shall indemnify, defend and hold harmless City and any and all of its boards, officers, agents, or employees from and against any and all claims and/or causes of action of any third-party (including but not limited to Transferee) arising out of or related to a proposed Transfer.

14.8 Rent or Performance. City in its sole discretion may accept rent or performance of Tenant's obligations under this Agreement from any person other than Tenant pending approval or disapproval of a Transfer. City's exercise of discretion to accept rent or performance shall be reflected in writing.

14.9 Transfers of Ownership.

14.9.1 The transfer of more than twenty-five percent (25%) of the economic interest in Tenant or any entity that directly or indirectly controls or owns fifty percent (50%) or more of Tenant in one or more transactions, regardless of whether Tenant is a publicly or privately held entity, shall constitute a Transfer within the meaning of Section 14.1.

14.9.2 If Tenant is a partnership, any transfer or attempted transfer by any general partner of Tenant of more than twenty-five percent (25%) of its partnership interest in Tenant in one or more transactions shall be a prohibited Transfer within the meaning of Section 14.1. Notwithstanding the foregoing, if any transfer of a general partner's interest is due to the death of a general partner and results in the transfer to the immediate members of the general partner's family, who will be immediately and personally involved in the operation of the partnership, the City will not unreasonably withhold its consent to such transfer.

14.9.3 If a parent or other entity has guaranteed or otherwise secured any or all of Tenant's obligations under this Agreement and if the ownership, makeup or financial condition of such parent or other entity has, in the sole reasonable discretion of Executive Director, materially changed at any point during the term of this Agreement, the right is reserved for City to require amendments of such guarantee, the provision of new security, or a combination thereof reasonably required by Executive Director to maintain the level of security as provided by the original guarantee. Following the effective date, Tenant shall have a continuing obligation to notify City in writing of any and all events that do or might constitute a material change within the meaning of this Section 14.9.3.

14.9.4 Executive Director shall have the authority - but no obligation - to unilaterally modify the foregoing conditions based on the facts of a particular case.

14.10 Assignments for Security Purposes. Board will consider Tenant's request to assign this Agreement to secure financing of improvements on the Premises on a case-by-case basis. Consent to assignments for security purposes will not be granted unless Tenant and its lenders satisfy the following conditions, among others, which may be reasonably imposed by the Board:

(a) Monies borrowed will be used exclusively to construct improvements on the Premises;

(b) Monies borrowed must be in a fixed amount. New borrowings or refinancings require further Board approval;

(c) The collateral covered by the security agreement securing Tenant's loan shall cover only Tenant's interest in improvements on the Premises, not the interests of City in improvements, and not any improvements or fixtures which, if removed, would leave the Premises untenable. In this Section 14.10, "untenable" means failing to comply with the standards described in Civil Code Section 1941.1 or its successor;

(d) Nothing in the instrument which creates the security interest in the lender shall amend, modify, or otherwise affect the rights of City under this Agreement or any guaranty;

(e) In the event the lender initiates any action to foreclose the interest of Tenant in this Agreement, the lender agrees to deliver to the Board in person or by registered mail a copy of any notice of default sent to Tenant and agrees, ten (10) calendar days in advance of any foreclosure sale, to give written notice to Board by registered mail. Such notices shall be addressed as follows:

Board of Harbor Commissioners
c/o Director of Real Estate Division
P.O. Box 151
San Pedro, CA 90733-0151

Such notice shall specify which of the below alternative courses of action the lender will take with respect to the Agreement and any guaranty. Any and all of the below stated alternatives are contingent upon Board's approval in accordance with the conditions in subsection (f) below.

Lender may:

(1) Assume as principal all of the obligations and duties arising on or after the foreclosure conveyance date under the Agreement; or

(2) Assume as principal all of the obligations and duties arising on or after the foreclosure conveyance date under the Agreement, and hire an operator, acceptable to Executive Director, who shall operate the Premises pursuant to the Agreement; or

(3) Assume as principal all of the obligations and duties arising on or after the foreclosure conveyance date, and thereafter reassign the Agreement with the consent of Board by order.

Notwithstanding any provision of this Agreement to the contrary, in the event the lender initiates any action to foreclose the interest of any subsequent assignee of the Agreement, the lender agrees to make the notifications and elections required herein.

The foregoing election by the lender shall be without prejudice to any rights Board may have with respect to Tenant's default of this Agreement; provided, however, that Board shall mail to both Tenant and lender a copy of any written notice of default in the performance of the terms and conditions of the Agreement, by registered mail, return receipt requested, addressed as follows:

(Name and Address of Tenant and lender is to be specified by Tenant. If no lender is specified, notice to Tenant alone is agreed to be sufficient.)

The lender shall have the option to cure such default within the time specified in such notice, provided that if such default is noncurable in nature, City shall have the right to immediately reclaim the Premises and lender shall have no further interest.

(f) Any lender proposal to transfer its interest in this Agreement or interest therein or right or privilege thereunder requires Board's consent. Board may withhold its consent in its reasonable discretion if Board determines that the proposed transferee cannot meet all of the following conditions, and any other conditions which may be reasonably imposed by the Board:

(1) This Agreement shall be in full force and effect and no ~~default shall exist or the lender shall agree in writing to cure all such defaults before the transfer.~~

(2) When requesting Board's consent to such a transfer, the lender shall demonstrate that: (a) the financial condition of the proposed transferee is as sound as that of Tenant at the time this Agreement was initially entered into or as at the time of the proposed transfer - whichever provides the better financial security to Board; (b) the proposed transferee has the requisite experience and reputation or has retained an operator with the requisite experience and reputation to operate the Premises; and (c) the proposed transfer will not unfavorably affect the revenues of the City, employment or the services available to the maritime community.

(3) Even if Board consents to such a proposed transfer, Board may first require that transferee and Board agree on a new compensation for the Premises transferred. If Board modifies the compensation, it shall take into account then Board policy for setting compensation and the prevailing market conditions.

(g) The form of all instruments and documents affecting the City's interests in the Premises shall be acceptable to Executive Director and City Attorney of City in their sole and absolute discretion.

(h) Board shall have the authority – but no obligation – to modify any of the foregoing conditions based on the facts of a particular case.

14.11 Tenant Name Change. Tenant shall promptly notify City in writing of any changes to its name set forth in the preamble of this Agreement.

14.12 Written Certificate. If requested in writing by Executive Director, Tenant shall, within ten (10) days of its receipt of such written request, certify under penalty of perjury under California law whether it has or has not undertaken a Transfer.

Section 15. Records and Reports.

15.1 Operations. Tenant shall keep full and accurate books, records and accounts relating to its operations on the Premises, including, without limitation, the volume of cargo handled and vessel occupancy of the berths non-exclusively assigned to Tenant. City shall have the right and privilege, through its representatives, at all reasonable times and on reasonable notice, to inspect such books, records and accounts in order to verify the accuracy of the sums due, owing and paid to City hereunder. Tenant agrees that such books, records and accounts shall be made available to City at Tenant's offices in the City of Los Angeles. City shall protect, to the extent permitted by law, the confidentiality of any such books, records and/or accounts so inspected.

15.2 ACTA. Tenant shall provide to City, the Alameda Transportation Corridor Authority ("ACTA"), or their agents, any information reasonably required to compile accurate statistical information related to the Alameda Corridor, and to enable ACTA to generate timely and accurate invoices for Alameda Corridor use fees and container charges payable by users of the Alameda Corridor. Tenant shall use its best efforts to provide such non-confidential and non-privileged information in the format requested.


TraPac

Los Angeles • Oakland • Jacksonville • Austin

December 2, 2013

Port of Los Angeles
 425 South Palos Verdes Street
 San Pedro, California 90731
 Attention: Executive Director

Re: Tenant Holdco Transfer Notice

Dear Executive Director:

Reference is made to that certain Permit No. 881 (as amended, the "Terminal Permit"), dated September 29, 2009, between the City of Los Angeles, acting by and through its Board of Harbor Commissioners (the "City"), and TraPac, Inc. (the "Tenant"). The Tenant is a wholly-owned subsidiary of International Transportation, Inc., a Delaware corporation ("Tenant Holdco"). Tenant Holdco's sole shareholder, Mitsui O.S.K. Lines, Ltd., a Japanese corporation ("Parent"), expects to enter into a purchase agreement in December 2013 (the "Purchase Agreement"), whereby Parent will sell 49% of Tenant Holdco (the "Transaction") to an entity ("Transferee") controlled by Brookfield Asset Management, Inc., a corporation formed under the laws of Ontario, Canada (together with its affiliates and managed vehicles) ("Brookfield"). Capitalized terms used in this Transfer Notice but not otherwise defined herein will have the meaning given in the Terminal Permit.

In connection with the Transaction, Tenant submits this Transfer Notice and respectfully requests that the City consent to the proposed transfer of 49% of the issued and outstanding shares of Tenant Holdco by Parent to Transferee (the "Transfer") in accordance with Section 14.2 of the Terminal Permit. Tenant respectfully requests that this matter be presented to the Board of Harbor Commissioners for approval at its next regularly scheduled meeting on December 12, 2013.

As general background, the Transaction involves the purchase by Transferee of 49% of the issued and outstanding shares of Tenant Holdco. Tenant Holdco is a holding company and the sole shareholder of Tenant. Tenant currently owns and operates several marine terminal facilities in the United States, including marine terminals located in the Port of Los Angeles, the Port of Oakland and the Port of Jacksonville, as well as certain operations and customer service facilities located in Austin, Texas (collectively, the "Tenant's Businesses"). Under the terms of the Transaction, Transferee will purchase an indirect interest in 49% of Tenant's Businesses (except with respect to the marine terminal located in the Port of Jacksonville in which Transferee will have an option to purchase a 49% interest in such marine terminal in 2017). Subsequent to the Transaction, the Tenant's Businesses will have the combined expertise and capital of the Parent and Brookfield to support their operations as a result Brookfield's investment.

TraPac, Inc.

920 W. Harry Bridges Blvd. • Wilmington, California 90744-5230
 P.O. Box 1178 • Wilmington, California 90748-1178
 (310) 830-2000 • FAX (310) 513-7410

With regard to the impact on Tenant's Business at the Port of Los Angeles, Tenant will remain the tenant under the Terminal Permit following the Transaction, and no rights or obligations of Tenant under the Terminal Permit will be transferred to Transferee (or otherwise) in connection with the Transaction. In addition, the existing Guaranty provided by Parent to the City under the Terminal Permit (which Guaranty unconditionally guarantees Tenant's obligations under the Terminal Permit) will remain in place. Because the Transaction occurs at the level of Tenant's holding company, the day-to-day operations of Tenant are expected to be unaffected and the existing management team of Tenant is not expected to change.

In order for the City to evaluate this Transfer Notice and Tenant's request for the City's consent to the Transfer, Tenant submits in this Transfer Notice the following additional information and documentation pursuant to Section 14.2.1 of the Terminal Permit.

(a) Specific identification of the entity or entities with whom Tenant proposes to undertake the Transfer ("Transferee").

The legal name of the Transferee is BIF II TP Aggregator (Delaware), L.P., a Delaware limited partnership.

(b) Specific and detailed description of the Transferee's entity type, ownership (including identification of all parent and subsidiary entities), background/history, nature of the Transferee's business, Transferee's character and reputation and experience in the operations proposed.

Brookfield is a global alternative asset manager with over \$175 billion in assets under management. It has over a 100-year history of owning and operating assets with a focus on infrastructure, property, renewable power and private equity. A global organization with 15,000 employees and operations located in 20 countries on five continents, Brookfield's major regional head offices include New York, Toronto, London, Sydney and Rio de Janeiro.

Brookfield has an extensive history as a long-term investor spanning over 100 years. Throughout much of this period, Brookfield has maintained a focus on real assets such as commercial real estate, power generation, electricity transmission and other hard assets. For example, Brookfield is the largest landlord of Class A office buildings in downtown Los Angeles. With this depth of investing and operating experience, Brookfield is one of the world's premier investors in real assets. Brookfield has a current market capitalization of approximately US\$25 billion and is listed on the NYSE, Toronto Stock Exchange and Euronext Amsterdam under the symbol BAM, BAM.A and BAMA, respectively.

Brookfield's is one of the world's largest multi-purpose port owners, handling over 170 million tons per annum of bulk and general cargo traffic. Brookfield's port infrastructure platform includes:

- Dalrymple Bay Coal Terminal – DBCT is one of the world's largest coal export facilities with a contracted capacity of 85 million tons per annum. DBCT exports high value metallurgical and thermal coal mined in the Bowen Basin of Queensland.

- PD Ports – PD Ports is a leading diversified deep sea port company operating in the UK handling over 30 million tons per annum of diversified traffic including coal. PD Ports is the landlord and statutory harbor authority of the Port of Tees and Hartlepool, the fifth largest port in the UK by tonnage.
- Euroports – Euroports is one of Europe's largest and most diverse port companies, which owns and operates port facilities in 16 key strategic locations in Europe and China and handles approximately 55 million tons per annum of diversified traffic.

Brookfield's extensive presence in the global port industry positions Brookfield to constructively and effectively deploy an extensive array of strategic, commercial and operational capabilities, in order to deliver enhanced efficiency and seek to maximize cargo traffic through the Terminal.

A core element of Brookfield's asset management and investment strategy is to deploy a significant amount of its own capital alongside that of its institutional clients. The Transferee is a Delaware limited partnership established by Brookfield Infrastructure Fund II for the purpose of investing in 49% of Tenant Holdco (which is effectively an indirect investment in Tenant). The Transferee is managed by Brookfield on for its own account and on behalf of its partners. For more information on Brookfield, its operations and holdings, please see <http://www.brookfield.com/>.

(c) Specific and detailed description of the type of Transfer proposed (e.g., assignment, sublease, grant of control, etc.) and the rights proposed to be transferred.

The Transfer would consist of the purchase of 49% of the issued and outstanding shares of Tenant Holdco by the Transferee. Tenant Holdco is a holding company and sole shareholder of Tenant. Tenant will remain the tenant under the Terminal Permit following the Transaction, and no rights or obligations of Tenant under the Terminal Permit will be transferred to Transferee or otherwise in connection with the Transaction.

(d) Specific and detailed description of the operations proposed to be undertaken at the Premises by Tenant and Transferee if City consents to the Transfer which includes a breakdown of the responsibilities and duties of Tenant and Transferee.

The Transfer will have minimal impact on the current operations of Tenant because:

1. the Transfer occurs above Tenant at the level of Tenant's holding company,
2. the existing management team at Tenant will not change as a result of the Transfer; and
3. the day-to-day operations of Tenant are expected to be unaffected by the Transfer.

Subsequent to the Transaction, the Tenant will have the combined expertise and capital of the Parent and Brookfield to support its operations as a result Brookfield's investment.

(e) All of the terms of the proposed Transfer, including the total consideration payable by Transferee; the specific consideration (if any) payable by Transferee in connection with the Premises and/or uses under this Agreement if the proposed Transfer is part of an acquisition or purchase that involves assets outside this Agreement; the proposed use of the Premises; the

effective date of the proposed Transfer; and a copy of all documentation concerning the proposed Transfer.

The Transaction is part of a broader strategic relationship between Brookfield and Parent which involves other assets of the Tenant including a marine terminal located in the Port of Oakland, a purchase option on a marine terminal located in the Port of Jacksonville, and certain operations and customer service facilities located in Austin, Texas. Attached hereto as Annex A is a summary of Transaction.

(f) The proposed form of a guaranty or guarantys providing greater or substantially the same protection to City as any guaranty in effect prior to or contemporaneous with the proposed Transfer.

The Guaranty from Parent to and for the benefit of the City that was delivered by Parent in 2009 as a condition to the effectiveness of the Terminal Permit (the "2009 Guaranty") will not be terminated, amended, or otherwise changed in connection with the Transaction, and the 2009 Guaranty will remain in full force and effect following the Transaction to the same extent as prior to the Transaction.

(g) A business plan for the Transferee including specific estimates of cargo volume anticipated under each of the following categories: existing contracts, contracts under negotiation and other specified sources;

The Tenant will continue to operate the terminal facility at the Premises and therefore there are no changes contemplated to the business plan of Tenant currently in effect. Parent will enter into new terminal services agreements with Tenant with respect to the Ports of Los Angeles and Oakland which will be substantially the same as the existing agreements, but will expressly provide for exclusive use and minimum cargo volumes by Parent at the terminal facilities operated by Tenant.

(h) A general description of any planned Alterations or improvements to the Premises.

No Alterations or improvements to the Premises are planned as a result of the Transfer. Alterations and improvements currently in progress or that have been previously approved with respect to the Premises are intended to be completed as currently contemplated.

(i) Written authorization in a form acceptable to City allowing City to inspect and review but not to copy, at times and locations reasonably selected by City, any books and records or other information of Tenant or Transferee (or third-parties acting for or on either of their behalves) reasonably determined by City to be necessary for its assessment of Tenant's request for consent.

Tenant authorizes City to inspect and review (but not to copy), at times and locations reasonably selected by City, any books and records or other information of Tenant or third-parties acting for or on behalf of Tenant reasonably determined by City to be necessary for its assessment of this request for consent to the Transfer described herein.

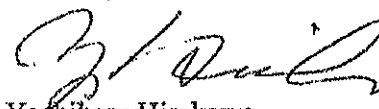
Attached hereto as Annex B is a written Authorization of Transferee providing the same authorization to City.

* * * * *

Please sign the enclosed duplicate copy of this letter to confirm the City's consent to the Transfer and acknowledgement and agreement that no further action is required by the City, Tenant or Transferee under the Terminal Permit with respect to the Transfer or the Transaction.

Should you have any questions regarding the above or require additional information with respect to the Transaction, please do not hesitate to contact Frank Pisano at 310-513-7441.

Sincerely,



Yoshiharu Hirakawa

Acknowledged and Agreed as of the Date First Written Above:

CITY OF LOS ANGELES, acting by and
through its Board of Harbor Commissioners

Dated: _____, 2013

By: _____
Executive Director

Attest: _____
Secretary

Approved as to Form and Legality

MICHAEL N. FEUER, City Attorney
Janna B. Sidley, General Counsel

Dated: _____, 2013

By: _____
Deputy/Assistant

Attachments:

Annex A (Summary of Transaction)
Annex B (Authorization of Transferee)

[continued on following page]

cc:

Los Angeles City Attorney's Office
425 South Palos Verdes Street
San Pedro, CA 90731

Brookfield Infrastructure Fund GP II LLC
250 Vesey Street, 15th Floor
New York, NY, 10281-1023
Attention: Mark Srulowitz
Facsimile: (212) 417-7182

O'Melveny & Myers LLP
400 South Hope Street
Los Angeles, CA 90071
Attention: Eric Richards and John Laco
Facsimile: (213) 430-6407

Mitsui O.S.K. Lines, Ltd.
Attention: Toshiya Konishi
Facsimile: (81-3)-3587-7729

Nixon Peabody LLP
437 Madison Avenue
New York, New York 10022
Attention: Richard F. Langan, Jr.
Facsimile: (212) 940-3111

ANNEX A

SUMMARY OF TRANSACTION

Parties	• BIF II TP Aggregator (Delaware), L.P., a Delaware limited partnership ("Transferee") • International Transportation, Inc., a Delaware corporation (the "Tenant Holdco") • TraPac, Inc., a California corporation (the "Tenant") • Mitsui O.S.K. Lines, Ltd., a Japanese corporation ("Parent")
Transaction	Transferee will acquire 49% of the issued and outstanding shares of Tenant Holdco (the "Shares"). The day-to-day operations of Tenant will continue consistent with past practice. After signing the Stock Purchase Agreement (the "Agreement"), Tenant Holdco will reorganize its operations by placing Tenant's operations at the Port of Jacksonville, Florida in a separate company, such that Tenant's only operations following closing of the Transaction will be at the Port of Los Angeles, the Port of Oakland and in Austin, Texas. Transferee will have an option to purchase the operations at the Port of Jacksonville, Florida in 2017. Parent and Transferee will enter into a Stockholders Agreement and Parent will enter into new terminal services agreements with Tenant with respect to the Ports of Los Angeles and Oakland which will be substantially the same as the existing agreements, but will expressly provide for exclusive use and minimum cargo volumes by Parent at the terminal facilities operated by Tenant.
Purchase Price	At the closing of the Transaction (the "Closing" or "Closing Date"), one-third of the Purchase Price will be paid in cash. On each of the first and second anniversaries of the Closing Date, the remainder of the Purchase Price will be paid in equal installments.
Purchase Price Adjustment	The Purchase Price will be increased or decreased, as the case may be, by a typical post-Closing working capital adjustment as set forth in the Agreement.
Performance Payment	Parent may receive additional payments, based on the financial performance of Tenant measured through EBITDA, which payments (if any) will be made in 2016 and 2017.
Representations and Warranties	The parties represent and warrant regarding themselves (and in the case of Tenant Holdco and Tenant, their businesses) in a manner customary for a transaction of this size and nature.
Conditions Precedent to Closing	Conditions to consummation of the Transaction include: (i) Receipt of required governmental approvals (including consent of the City of Los Angeles and the Port of Oakland, U.S. federal antitrust approval and CFIUS approval); (ii) Receipt of any necessary permits and approvals; and (iii) No judgment, order or decree preventing the Transaction. Each party must fulfill certain conditions, perform its covenants and deliver certain documents, before the other party is obligated to consummate the Transaction.
Indemnification	Each party will indemnify the other party and such party's respective affiliates against breaches of representations, warranties, covenants and agreements under the Agreement. The parties' indemnification obligations are subject to customary monetary and procedural limitations.
Covenants of the Parties	The parties will agree to certain matters, such as (i) access to information, (ii) continued conduct of the business in the ordinary course prior to Closing, (iii) assistance in obtaining regulatory approval and other consents, (iv) confidentiality, (v) using best efforts to consummate the transaction, (vi) Parent agreeing not to negotiate with any other party after signing, (vii) cooperation of the parties, (viii) Parent providing notice of certain events, (ix) Parent terminating certain intercompany arrangements, (x) Parent reorganizing Tenant's Jacksonville operations, and (xi) tax matters.
Termination	In the Agreement, the Transaction may be terminated and abandoned at any time prior to the Closing, (i) by mutual written consent of Transferee and the Parent, (ii) by either the Parent or Transferee if the Closing does not occur on or prior to the date that is 180 days after the date of the Agreement (the "Termination Date"), (iii) by either the Parent or Transferee if a governmental entity enjoins the Transaction; or (iv) by either Transferee or the Parent if its conditions to consummation of the Transaction have become incapable of fulfillment by the earlier of Termination Date or within 30 days of notice of a breach by the other party.

ANNEX B

CONSENT OF TRANSFeree

Reference is made to that certain Transfer Notice, dated as of December 2, 2013 (the "Transfer Notice"), delivered by TraPac, Inc., a California corporation ("Tenant") pursuant to that certain Permit No. 881 (as amended, the "Terminal Permit"), dated September 29, 2009, between the City of Los Angeles, acting by and through its Board of Harbor Commissioners ("City"), and Tenant. In accordance with Section 14.2.1(i) of the Terminal Permit, the undersigned, being the proposed Transferee, authorizes City to inspect and review (but not to copy), at times and locations reasonably selected by City, any books and records or other information of Transferee or third-parties acting for or on behalf of Transferee reasonably determined by City to be necessary for its assessment of request for consent to the Transfer described in the Transfer Notice.

BIF II TP Aggregator (Delaware), L.P.

By: Brookfield Infrastructure Fund GP II LLC,
its General Partner

By: _____
Name: _____
Title: _____

GUARANTY

THIS GUARANTY ("Guaranty") is made as of _____, 2009, by Mitsui O.S.K. Lines, Ltd. ("Guarantor") to and for the benefit of the CITY OF LOS ANGELES, acting by and through its Board of Harbor Commissioners ("City").

WITNESSETH:

- A. A wholly owned subsidiary of Guarantor known as TraPac, Inc. ("Tenant") has requested that City issue to it Permit No. 881 ("Permit"); and
- B. As a condition to the effectiveness of the Permit, City has requested and Guarantor has agreed to irrevocably guarantee the timely payment and performance of all obligations of Tenant arising under the Permit; and
- C. Guarantor acknowledges that the consummation of the transactions hereunder and under the Permit provides direct benefits to Guarantor.

NOW, THEREFORE, in consideration of the mutual covenants and agreements herein contained and of other good and valuable consideration, the receipt and sufficiency of which are hereby acknowledged, and in order to obtain City's approval to issue the Permit, and intending to be legally bound, Guarantor does hereby warrant, represent, and covenant unto City as follows:

1. GUARANTY AND SURETY.

Guarantor hereby absolutely, irrevocably and unconditionally guarantees, and becomes surety for, the full and timely payment and performance of the debts, obligations and liability of Tenant under the Permit, whether now or hereafter made, incurred or created, voluntary or involuntary, due or not due, absolute or contingent, liquidated or unliquidated, determined or undetermined, and regardless of whether recovery against Tenant with respect to such obligations is prevented by bankruptcy, or otherwise (collectively, the "Guaranteed Obligations").

2. SUBSEQUENT ACTS BY CITY.

City may, in its sole and absolute discretion and without notice to Guarantor, take any action which might otherwise be deemed a legal or equitable release or discharge of Guarantor's obligations hereunder without either impairing or affecting the liability of Guarantor for payment of the Guaranteed Obligations, which actions might include, by way of illustration and not limitation:

- 2.1 the renewal or extension of any of the Guaranteed Obligations or any payments hereunder;
- 2.2 the acceptance of partial payment or performance of the Guaranteed Obligations;
- 2.3 the settlement, release, compounding, compromise, cancellation, rearrangement or consolidation of any of the Guaranteed Obligations;

2.4 the collection of or other liquidation of any claims City may have in respect to the Guaranteed Obligations;

2.5 the granting of indulgences, forbearances, compromises, extensions or adjustments in respect to any covenant or agreement under the Permit;

2.6 the release from liability of any Guarantor, or payment of the Guaranteed Obligations or any portion thereof;

2.7 the release, surrender, exchange or compromise of any lien, security or collateral held by City as security for the Guaranteed Obligations; or

2.8 the release or compromise of any lien or security held by City as security for the liability of any person who is guaranteeing the Guaranteed Obligations.

Any alterations of the terms of this Guaranty shall be in writing, mutually agreed to by City and by Guarantor and in conformity with the procedures set forth in City's Charter and Administrative Code.

3. EXPENSES.

Guarantor agrees to reimburse City for all expenses (including without limitation reasonable attorneys' fees, costs and expenses) incurred by City in enforcing the Guaranteed Obligations, pursuing any remedies relating to the Guaranteed Obligations set forth in the Permit, and enforcing this Guaranty.

4. PAYMENT BY GUARANTOR.

In the event of any default by Tenant with respect to the Guaranteed Obligations, Guarantor agrees to pay or perform on demand (either oral or written) such obligations. City shall not be required to liquidate any lien or any other form of security, instrument, or note held by City prior to making such demand. THIS IS A GUARANTY OF PAYMENT AND PERFORMANCE AND NOT OF COLLECTION, and Guarantor hereby waives all rights that Guarantor may have, if any, to require that any action be brought against Tenant (or any other person) or to require that resort be first made against any security prior to demanding payment or performance hereunder.

5. CUMULATIVE REMEDIES.

Guarantor hereby agrees that all rights and remedies that City is afforded by reason of this Guaranty are separate and cumulative and may be pursued separately, successively, or concurrently, as City deems advisable. In addition, all such rights and remedies are nonexclusive and shall in no way limit or prejudice City's ability to pursue any other legal or equitable rights or remedies that may be available. Without limiting the generality of the foregoing, Guarantor agrees that in any action by City by reason of the Guaranteed Obligations, City at its election may proceed (a) against Guarantor together with Tenant, (b) against Guarantor and Tenant individually, or (c) against Guarantor only without having commenced any action against or having obtained any judgment against Tenant.

6. WAIVERS BY GUARANTOR.

6.1 Guarantor hereby waives:

6.1.1 notice of acceptance of this Guaranty and of creation of the Guaranteed Obligations;

6.1.2 presentment, notice of non-payment, and demand for payment of the Guaranteed Obligations;

6.1.3 protest, notice of protest, and notice of dishonor or default to Guarantor or to any other party with respect to any of the Guaranteed Obligations;

6.1.4 the right to receive demand for payment under this Guaranty;

6.1.5 any defense or circumstance (including, without limitation, disability, insolvency, lack of authority or power, insanity, minority, death or dissolution), other than payment of the Guaranteed Obligations, which might otherwise constitute a legal or equitable discharge of Guarantor's liability hereunder;

6.1.6 any defense of Tenant to the Guaranteed Obligations;

6.1.7 any rights to extension, composition or otherwise under the Bankruptcy Code or any amendments thereof, or under any state or other federal statute;

6.1.8 the right to trial by jury in any litigation arising out of, relating to, or connected with this Guaranty;

6.1.9 all rights or defenses that Guarantor may have as set forth in Division Three, Part 4, Title 13, currently Sections 2787 through 2914, of the California Civil Code, which address generally suretyship;

6.1.10 Guarantor waives any and all demands, actions, defenses, defaults, claims, breaches, causes of action, obligations, damages, and/or liabilities of any nature whatsoever existing as of the date hereof which Guarantor has or may have against City arising from or out of the Permit.

6.2 It is expressly agreed that Guarantor shall remain liable hereon regardless of whether Tenant is held to be not liable on the Guaranteed Obligations. It is agreed between Guarantor and City that the foregoing waivers are of the essence of the Permit transaction and that, but for this Guaranty and such waivers, City would decline to enter into the Permit.

7. WAIVER AND RELEASE OF SUBROGATION AND PARTICIPATION.

Until such time as all obligations of Tenant under the Permit have been satisfied, Guarantor shall have no right of subrogation in or under the Permit, and no rights of reimbursement, indemnity or contribution from Tenant or any other rights by law, equity, statute or contract that would give rise to a creditor-debtor relationship between Guarantor and Tenant. Effective for the time period described in the preceding sentence, Guarantor hereby explicitly waives and releases any of the above-described rights of subrogation, reimbursement, indemnity,

contribution, participation, and any right to require the marshaling of Tenant's assets under any circumstances.

8. SUBORDINATION.

Any obligation or debt of Tenant now or hereafter held by Guarantor is hereby subordinated to the Guaranteed Obligations and Guarantor shall not enforce or collect any such indebtedness from Tenant. Nevertheless, upon request by City, Guarantor shall collect, enforce and receive such indebtedness of Tenant to Guarantor. Any sums collected at City's request or collected in contravention of the prohibition set forth herein shall be held by Guarantor as trustee for City and shall be paid over to City on account of the Guaranteed Obligations; provided, however, such payments shall not impair, reduce or affect in any manner the liability of Guarantor under the other provisions of this Guaranty.

9. REPRESENTATIONS AND WARRANTIES.

Guarantor hereby represents and warrants to City that:

9.1 Guarantor now has no defense whatsoever to any action, suit or proceeding whatsoever that may be instituted on this Guaranty;

9.2 No other agreement or special condition exists between Guarantor and City regarding the liability of Guarantor hereunder; and

9.3 This Guaranty constitutes a valid and binding obligation of Guarantor, enforceable in accordance with its terms.

10. STRICT PERFORMANCE: WAIVERS.

No failure, delay or omission by City to exercise any of the rights, powers, remedies and privileges hereunder shall be deemed a waiver thereof and every such right, power, remedy and privilege may be exercised repeatedly. No notice to or demand on Guarantor shall be deemed to be a waiver of the right of City to take further action without notice or demand as provided herein. In no event shall any modification or waiver of the provisions of this Guaranty be effective unless in writing executed by City. Any waiver granted shall be applicable only in the specific instance for which it is given. Failure of City to insist upon strict performance or observance of any of the terms, provisions and covenants hereof or to exercise any right herein contained shall not be construed as a waiver or relinquishment of the right to demand strict performance at another time. Receipt by City of any payment or performance on the Guaranteed Obligations shall not be deemed a waiver of the breach of any provision hereof or of the Permit.

11. CAPTIONS.

The captions appearing herein are used for reference only and shall not be construed as limiting anything set forth herein.

12. SEVERABILITY.

If any term, covenant, condition or provision of this Guaranty, or the application thereof to any person or circumstance, shall to any extent be held by a court of competent jurisdiction to be invalid, void or unenforceable, the remainder of the terms, covenants, conditions or provisions of this Guaranty, or the application thereof to any other person or circumstance, shall remain in full force and effect and shall in no way be affected, impaired or invalidated thereby.

13. GOVERNING LAW.

This Guaranty shall be governed by the laws of the State of California without reference to choice of law rules.

14. ASSIGNMENT: DELEGATION: BINDING EFFECT.

The duties and obligations of Guarantor may not be delegated or transferred by Guarantor without the prior written consent of City. The duties and obligations of Guarantor shall bind Guarantor's heirs, personal representatives, executors, successors and assigns.

15. TERMINATION: REINSTATEMENT: LIMITATION.

15.1 Subject to Section 15.2 below, Guarantor's obligations hereunder shall terminate, and this Guaranty shall be released, upon payment and performance in full of all debts, obligations and liabilities of Tenant to City under the Permit.

15.2 This Guaranty shall remain in full force and effect and continue to be effective should any petition be filed by or against Tenant under the Bankruptcy Code, as at any time amended, for liquidation or reorganization, or should Tenant become insolvent or make an assignment for the benefit of creditors or a receiver or trustee be appointed for all or any significant part of Tenant's assets, and this Guaranty shall continue to be effective or be reinstated, as the case may be, if at any time payment of the Guaranteed Obligations, or any part thereof, is, pursuant to applicable law, rescinded or reduced in amount, or must otherwise be restored or returned by City, whether as a "preferential transfer," "voidable preference," "fraudulent conveyance," or otherwise, as if the portion of such payment rescinded, reduced, restored or returned had never been made.

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16. NOTICES.

To City: The City of Los Angeles
Executive Director
425 S. Palos Verdes Street
San Pedro, California 90731

To Guarantor: Mitsui O.S.K. Lines
Group Leader, Ports and Terminals Group
1-1, Toranomion 2-Chome
Minato-ku, Tokyo 105-8688
Japan

IN WITNESS WHEREOF, Guarantor has duly executed this Guaranty the day
and year first above written.

Guarantor:

Mitsui O.S.K Lines, Ltd.

By: M. Y. /
Name: Masakazu Yakushiji
Title: Executive Vice President

Attest: [Signature]
Name: Junichiro Ikeda
Title: Executive Officer

APPROVED AS TO FORM

8/6, 2009

ROCKARD J. DELGADILLO, City Attorney

By [Signature]
STEVEN Y. OTERA, Deputy